COST CONTAINMENT &
STOP LOSS PRICING

How Operational Strategy Directly Impacts Risk, Pricing, and Outcomes

EXECUTIVE SUMMARY

Stop loss pricing has historically been based on past claims. That model is broken. Healthcare cost is not just a function of risk it is a function of behavior, access, and intervention.

Employers that actively manage these variables materially change their risk profile.

This paper explains how cost containment directly impacts stop loss pricing and why the most sophisticated programs are built on operational control not just actuarial projections.

THE TRADITIONAL PRICING MODEL

Stop loss carriers traditionally price based on:
- Historical claims
- Demographics
- Trend assumptions

This approach assumes the future will mirror the past. It ignores one critical factor: intervention.

WHY THIS MODEL FAILS

Healthcare is dynamic. Without intervention, costs rise. With intervention, costs can be controlled.

Traditional underwriting fails to fully credit employers who actively manage care.

This leads to systematic overpricing for high-performing groups.

THE NEW MODEL: PERFORMANCE-BASED RISK

Modern stop loss pricing must incorporate operational strategy. Risk is no longer static it is influenced in real time. Employers who implement cost containment fundamentally alter expected claims.

CORE COST CONTAINMENT LEVERS

Primary levers that impact claims:
- Direct Primary Care → reduces utilization
- Pharmacy optimization → reduces specialty drug spend
- Centers of Excellence → lowers surgical costs
- Care navigation → reduces leakage

Each lever directly impacts loss ratios.

QUANTIFYING THE IMPACT

Typical measurable impact:
- DPC: -10% to -20% total claims
- PBM optimization: -15% to -30% Rx spend
- COE programs: -20% to -40% surgical costs

Combined strategies can reduce total cost by 15–30%.

IMPACT ON STOP LOSS PRICING

When claims are reduced:
- Expected loss decreases
- Variability decreases
- Risk profile improves

This should result in:
- Lower premiums
- Improved renewals
- Better underwriting outcomes

However, most carriers do not fully reflect this.

THE ZENITH DIFFERENCE

Zenith integrates underwriting with cost containment. We do not just price risk we influence it.

This allows for:
- More accurate pricing
- Better-performing groups
- Sustainable cost reduction

BROKER & EMPLOYER ADVANTAGE

For brokers:
- Stronger differentiation
- Better client retention
- More predictable renewals

For employers:
- Lower long-term cost
- Greater control
- Improved outcomes

CONCLUSION

The future of stop loss is not passive. It is proactive, integrated, and performance driven. Employers who control care will control cost. And those who control cost will outperform.